

May June 2022 v14

1D:

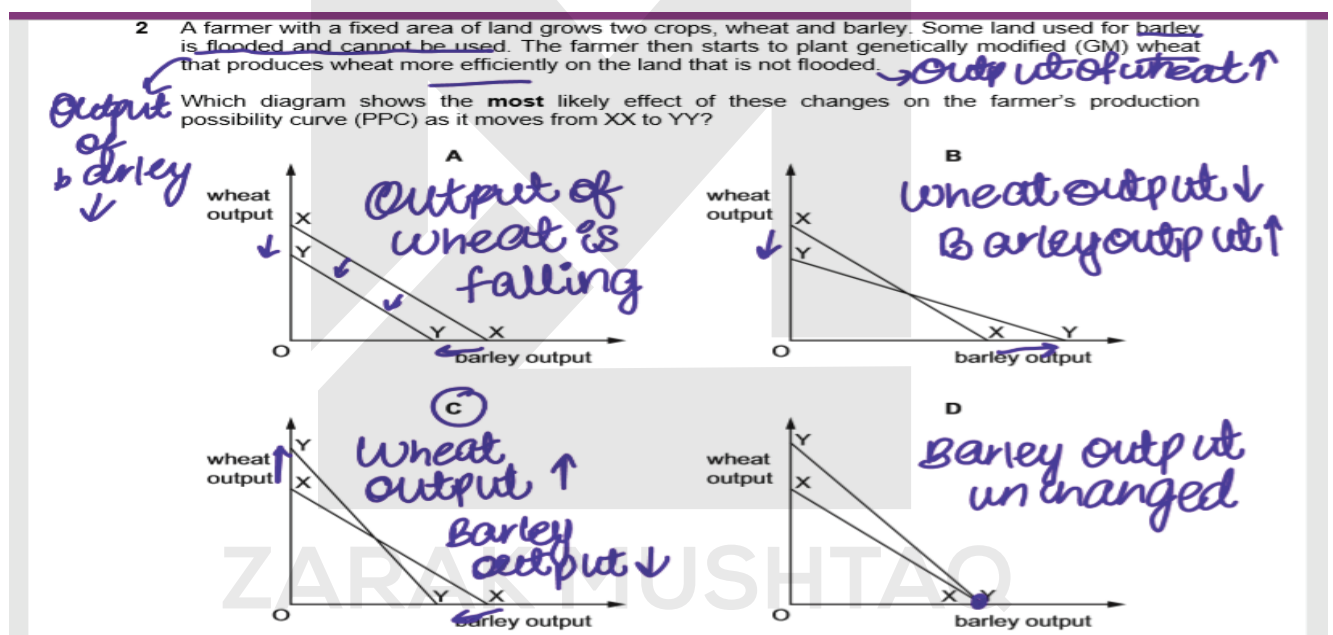
A: Healthcare is not a public good because it exhibits the characteristics of rivalry, that is when consumption by one individual reduces the amount available for others to consume, and excludability, that is when payment by one individual restricts others from consuming it. Therefore, it is a "private good"

B: It is not possible for **all consumers** to receive better healthcare; only those able to afford it will be able to receive it.

C: When market forces engage in provision of healthcare, there will subsequently be a "market failure", as due to imperfections, they will be under-consumed, and therefore undercharged and consequently under-produced, resulting in "under-allocation"

D: Yes, since now price mechanism will be operational, the healthcare market will reach an equilibrium.

2-C:



3-A:

A: If a fee is charged for the use of the online payment service, an additional cost will have to be borne, which will make people reluctant to use online payment methods

B: If both: high- and low-priced goods can be paid for using the online service, this means that the acceptability increases.

C: Payments being made at any time of the day represents acceptability again

D: If online payment is accessible through a smartphone, this means that it will now be easier to use online payment

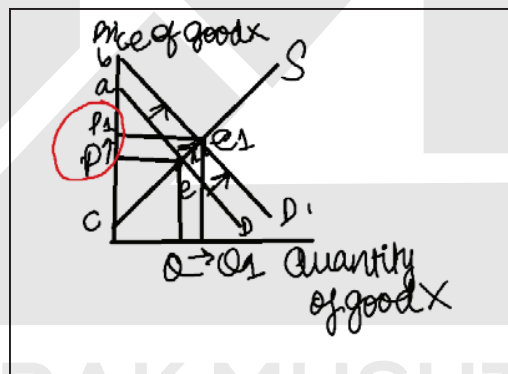
4-D:

- A- Tools have been replaced , that is, hand tools have been replaced with power tools, and not labor.
- B- Gardening has become more capital intensive instead of being labor intensive.
- C- There is no information given as to whether land has become more productive or not
- D- This is correct that “new technology has been introduced”, since now “power tools” are used.

5-D:

Since good X and Y are complements, an increase in supply of good Y will create a surplus and cause the price of good Y to fall, apart from it causing an extension in qty demand of good Y, **it will also cause an increase in demand of good “X” that is the complementary good**, since there is a negative relationship between the price of one good, and qty of another in case of complements.

Since the demand for good X increases from D to D1, this means that consumers now place a greater value to the product and their willingness to pay increases, and because of a shortage, **equilibrium price rises from P to P1**, and since producer surplus increases from P_{ec} to $P1e1c$, producers are signaled to **extend equilibrium quantity (quantity supplied) from Q to Q1**. This is why option **D** is correct.



6-B:

First and foremost, consumers ability to pay for a product is affected because of “income” and “prices” because prices affect real incomes.

- A- That being said, changes in consumer’s incomes will directly affect the ability of individuals.
- B- Changes in tastes is a factor that is unlikely to affect ability of individuals, thus making it correct
- C- Again, a change in the price of the product will directly affect ability.
- D- A fall in the tax on goods and services will affect prices, which will consequently affect the ability of individuals.

7-D:

A: An increase in advertising will affect demand and shift the demand curve. Although, it will lead to an extension in qty supplied, this alone would not impact the ease with which firms can respond to changes in demand i.e. price elasticity of supply.

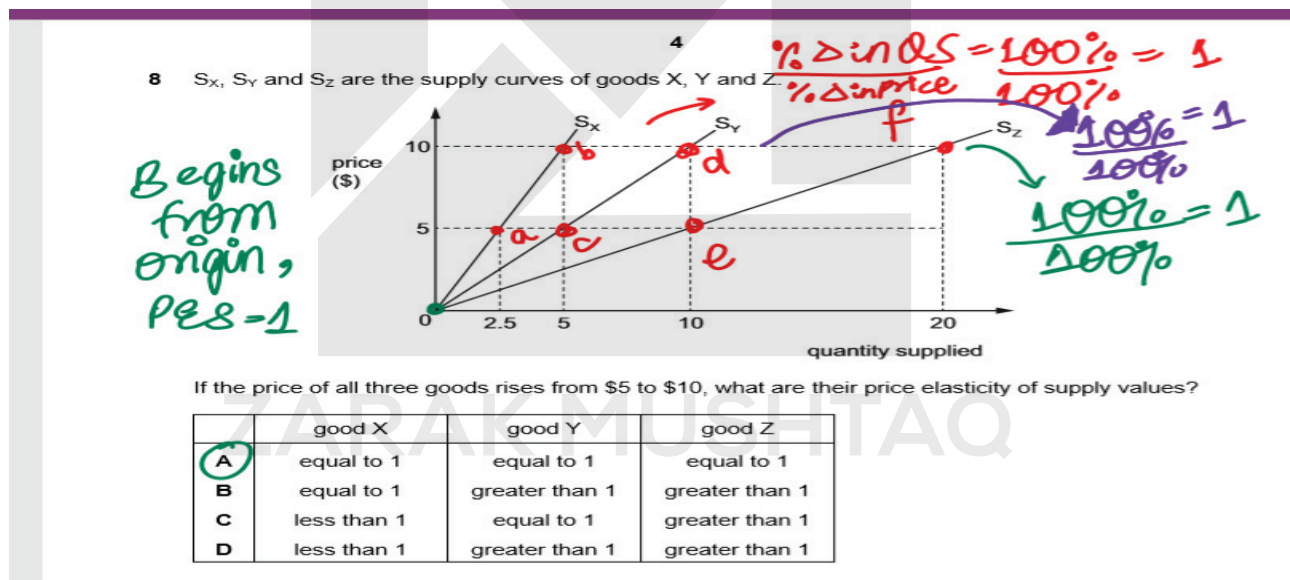
B: An increase in the firm's ability to substitute capital for labor will enable an efficiency in the manufacturing process and because of a rise in productivity, this will result in an "increase in output", and will in turn make the supply more responsive to changes in demand, or in other words, more price-elastic.

C: Again, an increase in the time during which the product can be stored means that there will be greater stocks of raw materials and finished goods, which can be released upon a rise in demand, making supply more elastic.

D: However, an increase in the time it takes to produce a particular good means that it will become difficult for producers to extend quantity supplied, therefore making supply "inelastic" in response to changes in demand.

8-A:

Since the curve begins from the origin, this means that the percentage change in price is equal to the percentage change in qty supplied, representing "unitary supply" ($PES=1$)



9-A:

We are interested in an option in which the particular flight appears to have less options or close substitutes available and be a "necessity"

*Distance of flight : Long

-If the flight is of a long distance, there are greater chances that less airlines would be offering it, and due to less close substitutes of a similar quality and price, "demand will be inelastic"

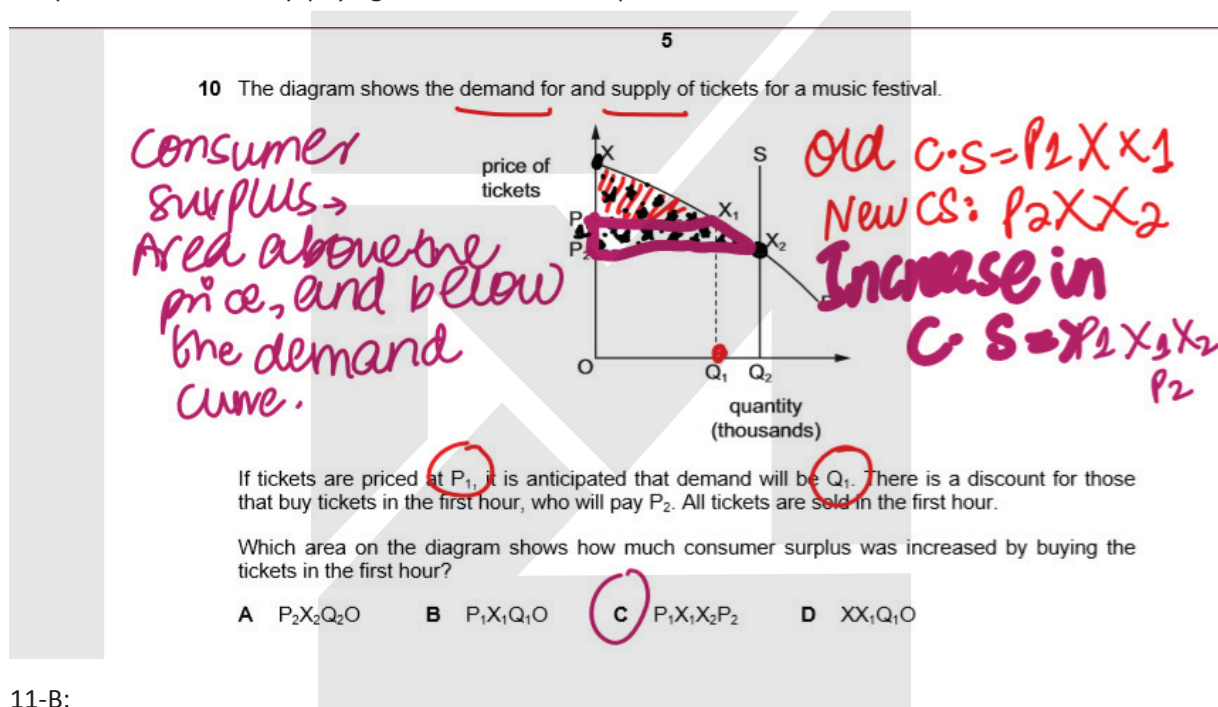
*Purpose of flight: Business

- If the flight is for a business purpose, this means that it can not be avoided, again making the demand for it “inelastic”

*Income of traveler:

-If the income of traveller is high, this means that the cost of ticket will take up a lesser proportion of the traveller’s income, making the traveller insensitive to changes in prices, therefore making the demand “inelastic”

10-C: Consumer surplus is the difference between the maximum price a consumer is willing to pay, and the price that he ends up paying, that is, the market price.



11-B:

In case of an elastic demand, a fall in price by a smaller percentage for example: 10% brings an extension in qty demanded by a relatively higher percentage for example: 50%, which means that **quantity demanded rises by a greater percentage than the price fall**, leading to a rise in Total Revenue.

This represents a negative relationship between price and Total Revenue as with “elastic demand”

12-D:

-It is in the case of goods with an **inelastic demand** that is when $PED < 1$, that a rise in price by a relatively higher percentage results in a contraction in qty demanded by a relatively smaller percentage, leading to a rise in total spending or “Total Expenditure”, representing a positive relationship between price and total revenue in case of inelastic demand.

- If the price of good X rises (let's say car), and this results in a fall in demand for good Y (for e.g: petrol), this represents that these goods are complements since there is a negative relationship between price of one good and demand for another in case of complements. This means that XED of Y with respect to the price of good X will have **a negative sign, or in other words, the value will be <0.**

That being said, D becomes the answer.

13-B:

If the incomes of the rich increase, this will lead to **a rise in demand** for luxury watches, that represents a **"normal good" from D to D1**

Similarly, if the cost of raw materials for manufacturing watches rise, this will lead to a rise in costs of production, and consequently a **fall in supply from "S1 to S2"**

As a result, a new equilibrium point will be achieved from "X" to "B"

14-C:

A, B, D: It is not important for payment to come from "taxes", or "government savings rather than current income" or the "money to be spent as directed by the government". All these points do not represent the "concept of transfer payments"

C: Transfer payments are payments made without goods and services being received in exchange, this means that against them, no contribution to production or output is expected, thus making C correct.

15-D:

A: This statement is invalid as in case of direct provision of goods and services, price-mechanism is not operational, this means that there will be a **decrease in "consumer sovereignty"**

B: This is incorrect as well, as governments often engage in direct provision of merit goods for example: education and healthcare to increase production up to socially optimal levels of output, to be able to rectify "market failures"

C: Tax rates are likely to increase in order to increase the funding.

D: This is a valid objection as investment in private sector might reduce, **since they may not be able to generate sufficient profits**, representing a crowding-out effect, that is when government spending reduces private sector investment.

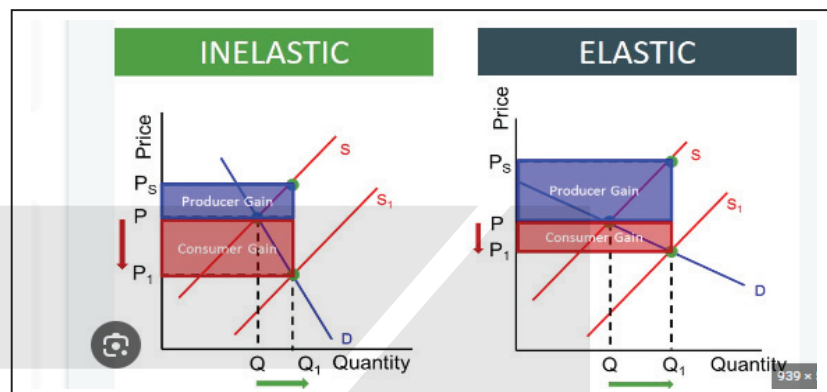
16-B:

A: Although, the equilibrium price falls by a larger percentage, the qty rises **instead of falling, thus making this option incorrect.**

B: Provision of subsidy to a good with an inelastic demand after having resulted in a rise in supply, will lead to **a fall in equilibrium prices by a relatively higher percentage** since consumer benefits will be greater than producer benefits, as can be seen in the diagram below. **And since, this is given to basic necessity goods for example, the extension in qty supplied will be by a relatively smaller percentage,** resulting in a fall in Total Expenditures.

C-This is incorrect, as the equilibrium price does not fall by a smaller percentage in case of in-elastic demand

D: This represents “elastic demand” whereby the equilibrium price falls by a smaller percentage relative to equilibrium qty, which extends by a relatively higher percentage



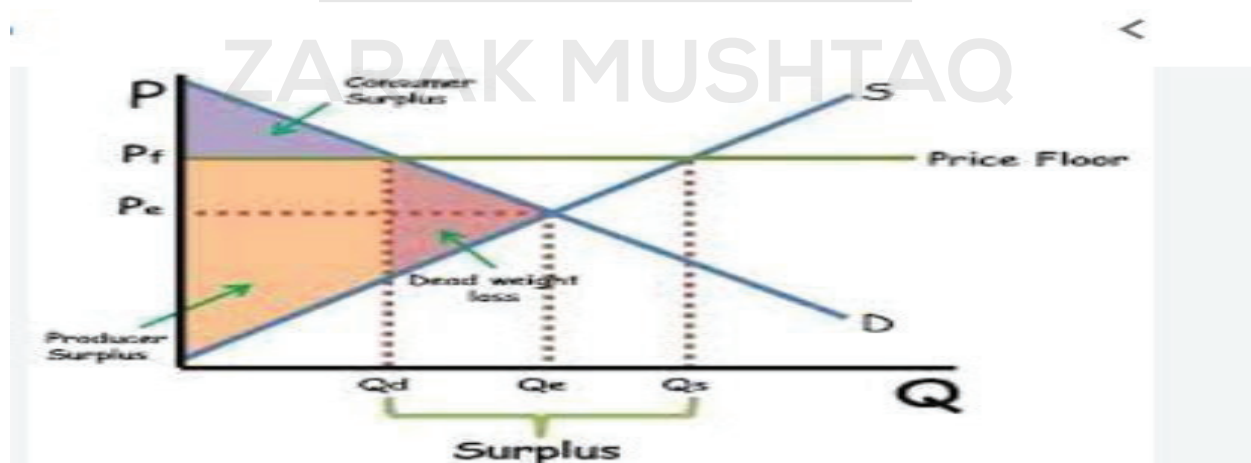
17-D:

A: Because of imposition of a minimum price, there will be an extension in qty supplied and a contraction in qty demanded ,which will result in a surplus , this means that the surplus will increase rather than decreasing.

B: Minimum price represents an above the equilibrium price-flooring, which represents that “at least a particular level of price must be maintained” and prices can rise, but not fall from this level , which makes it **evident that prices will “increase” rather than “decrease”**

C: Because of a rise in price , there will be an extension in qty supplied, rather than a decrease.

D: When prices are raised through the minimum price legislation , the size of the “consumer surplus” falls. This can be seen in the diagram below.



18-D:

A government's attempt to levy a 5% tax on all profits up to the first 10,000 represents a proportional tax as the tax **will take up a fixed percentage** of all the profits coming in this range.

Similarly, on all the profits above 10,000, 10% will be taken up in tax.

This represents "proportional tax". **A proportional tax is an income tax system that levies the same percentage tax to everyone regardless of income.**

19-D:

A: Changes in the prices of imports and exports will affect volume of imports and consequently "Balance of Trade"

B: A rise in secondary incomes or foreign aid flows is a part of "secondary incomes", which is included in the current account.

C: Appreciation in the exchange rate has the tendency to create a Balance of Trade Surplus in the short run, and Balance of Trade deficit in the long run, consequently affecting the "current account"

D: But, a rise in foreign direct investment inflows will affect the "financial account" of the Balance of Payments. This is not included in the current account.

20-D:

A - A ban on the import of a particular type of good, for example : demerit goods, represents "embargo"

B- Strict product regulations on imports represents "red tapes"

C- A tax that raises the prices of imported goods represents "tariffs"

D – It is correct to say that an import quota limits the quantity of goods that can be imported, which makes this option correct.

21-C:

$$\begin{array}{l} \text{\% of trade performed} \times \text{Exchange rate adjusted with changes} \\ Y \rightarrow 60\% \times 80\% \Rightarrow 0.48 \\ Z \rightarrow 40\% \times 110\% \Rightarrow 0.44 \\ \hline * 0.92 \times 100 = 92 \end{array}$$

$$\boxed{0.92}$$

22-C:

We are interested in an option that results in a leftward shift in the “ supply curve”

- A- If UK interest rates fall below US interest rate , then there will be less incentive to invest in the UK economy , and due to a greater opportunity cost of investing in the UK economy, the domestic residents may take their money from UK to invest elsewhere for better return, which will result in a **rise in “supply of the UK currency”**. Along with this, it will have an effect on the **“demand for UK currency” which will fall**, as the country will appear unattractive to foreign investors , and this results in a “fall in demand for the UK currency” as well .This becomes incorrect as it can have a “demand-side effect” as well.
- B- If the demand for UK exports is price-elastic and the prices for them increase, they will appear globally uncompetitive, which will result in a contraction in qty demanded by a relatively higher percentage , subsequently resulting in a fall in export revenues , and in turn a fall in **“demand for currency”**.
- C- If the demand for US exports is price elastic and prices decrease, there will be an extension in qty demanded of US exports by a relatively higher percentage, chances are that UK will also increase its imports, and this rise in import expenditures represent a **“rise in the supply of the currency”** as more currency will have to be sold to be converted in dollars to make payments to the US. This will result in a leftward shift in the supply for currency curve, thus making this correct.
- D- This is incorrect as if people believe that sterling will appreciate in future, they would not sell it.

23-C:

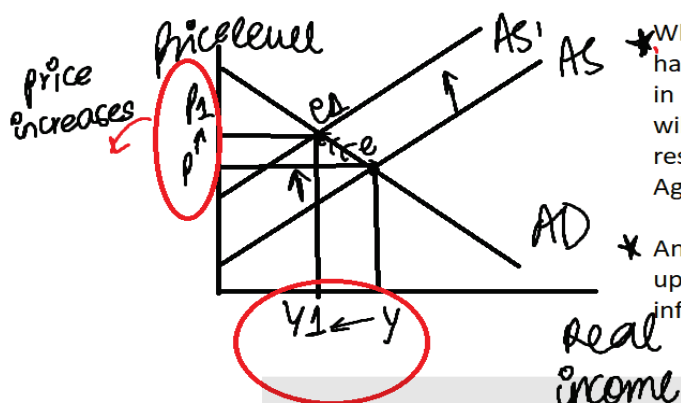
A: This is incorrect as fixed income earners will lose more , as since their incomes are not adjusted for inflation, because of the fact that “money wages” remain constant , means that any rise in inflation will cause a tremendous fall in their real incomes, eventually causing their purchasing powers to fall, which will in turn lead to them being able to purchase less and less than before.

B:If the inflation is “unanticipated”, that is, when **the rate of inflation** is higher expected, it will be greater than the **rate of rise of nominal incomes, leading to the real wages to fall by more.**

C: This is correct to say that the assets of creditors decrease in value, as when the creditors receive the money they had lent, that money will have lesser purchasing power than before, as the real value of it would have fallen, leading to them being harmed. This is on the expense of debtors, who would have gained, as now they have to return money will lesser purchasing power than before.

D: The domestic purchasing power of money would fall as \$1 will be able to purchase less and less than before.

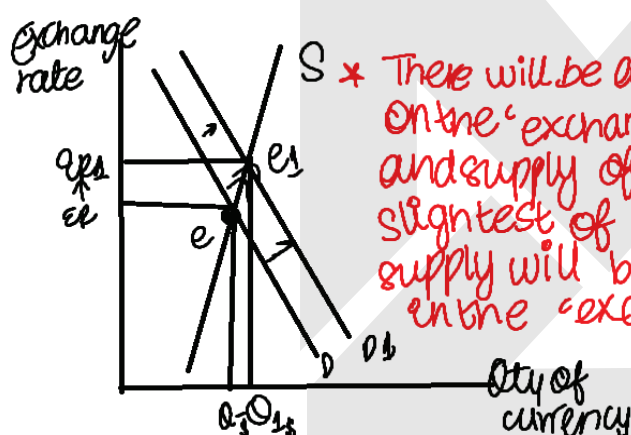
24-C:



* When the price of essential imported raw materials that have an inelastic demand rises, there will be a contraction in qty demanded by a relatively smaller percentage, which will result in a rise in import expenditures and since it results in a rise in costs, it will lead to a decrease in Aggregate Supply.

* And since, this will result in shortages, there will be an upward pressure on prices representing "cost push inflation"

25-D:



* There will be a greatest upward pressure on the 'exchange rate' if the demand and supply of currency is inelastic, as slightest of changes in demand and supply will bring significant fluctuations in the 'exchange rate', making 'D' the answer.

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26-C:

A: An increase in the budget deficit because of a rise in government spending will lead to generation of incomes, resulting in an "increased spending on imported goods", which when increases import expenditures would result in a rise in supply of currency, and in turn "Depreciation" of the exchange rate.

B: A rise in inflation would make exported goods uncompetitive, leading to a contraction in qty demanded of exported goods by a relatively higher %, considering that the demand for them is elastic, which would result in a fall in export revenues relative to import expenditures which will rise, as imported goods become cheaper for the country. This BOT deficit means that the demand for currency is lesser than the supply of the currency which is relatively high, resulting in "depreciation of the ER"

C: When interest rates are high, this would result in a greater incentive to invest in the economy, subsequently leading to a rise in demand for currency as hot money inflows will be attracted, which will cause "the exchange rate to appreciate", making this correct.

D: . This BOT deficit means that the demand for currency is lesser than the supply of the currency which is relatively high , resulting in "depreciation of the ER"

27-A:

Terms of trade is the ratio of export prices to the ratio of import prices.

A- When the demand for a country's exports fall, the export prices will fall too , and when numerator falls relative to denominator , this results in terms of trade being deteriorated.

B: If consumers' incomes in major trading partners rise, there will be an increase in demand for the currency, which will result in a rise in export prices, and in turn a favorable effect on the Terms of Trade.

C: A decrease in interest rates by trading partners means that our interest rates will be relatively higher, which will lead to an "Appreciation of the Exchange rate", as a result of which export prices will rise, subsequently leading to a favorable effect on the Terms of Trade.

D: Worsening of the TOT, or in other words, depreciation would only result in a BOT surplus in the long-run, as in the short-run, the country will be faced with a "deficit"

28-B:

A: Depreciation of the ER when makes exported goods appear relatively cheaper and imported goods appear relatively expensive , would lead to a BOT surplus in the "long run" when Marshall Lerner condition is fulfilled , that is , the sum of PED of imports and exports is greater than 1 ; therefore , leading to a "rise in surplus" . Alongside which, a rise in govt spending when leads to incomes being generated , would result in a rise in consumption of imported goods, leading to a rise in import expenditures, which can lead to "surplus being reduced"

B: Appreciation of the currency in the long run, when the sum of PED of imports and exports is greater than 1, would result in a BOT deficit, or in other words, **cause the surplus to reduce.**

Similarly, a reduction in interest rates when reduces the incentives to save, also contributes to an increased spending on imported goods, again resulting in "**surplus being reduced**", this is why , this becomes correct

C: A pay freeze would result in a fall in purchasing powers and subsequently a reduction in consumption of imported goods, which would result in the "surplus" being increased. Although, a rise in money supply causes a fall in interest rate , which when reduces the incentives to save, also contributes to an increased spending on imported goods, resulting in "surplus being reduced". Overall , this becomes incorrect

D: Increases in direct taxation represents expenditure dampening policy, the target of which is to reduce expenditure on imported goods, and this will subsequently lead to a fall in import expenditures , causing the "surpluses" to increase.

29-A:

A: In case of expansionary fiscal policy , the government reduces the rate of taxation and increases govt spending, and so public expenditures will rise relative to tax revenues, resulting in a “budget deficit”

B and C: Increase in the exchange rate will occur as a result of “contractionary monetary policy” and “increases in money supply will be a result of expansionary monetary policy”

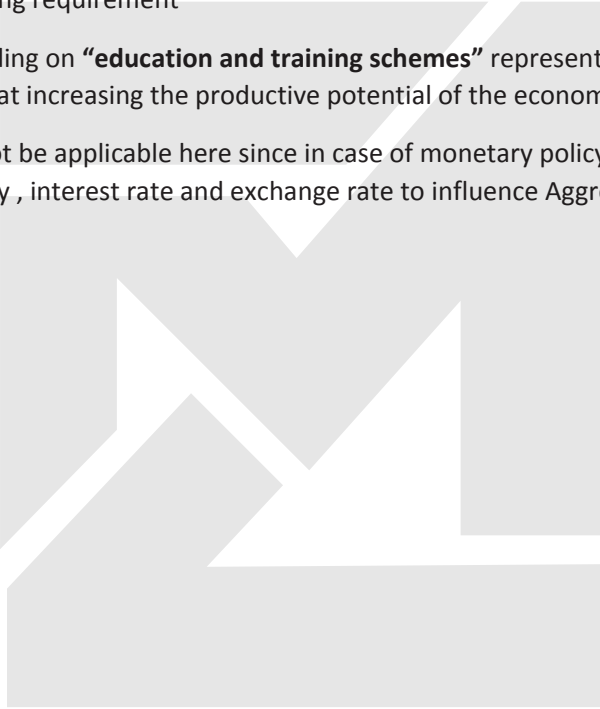
D: The rate of direct taxation, when increased, is representative of “contractionary fiscal policy”

30-A:

A rise in govt spending represents **the “fiscal policy”** being put in effect. Borrowing represents the need for “public sector borrowing requirement”

Whereas, increased spending on **“education and training schemes”** represents the government’s supply-side policy, aimed at increasing the productive potential of the economy.

Monetary policy would not be applicable here since in case of monetary policy, the government manipulates money supply , interest rate and exchange rate to influence Aggregate demand.



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